



FINANCIAL ACCOUNTING

Final Project Report

GROUP "A"

FINANCIAL STATEMENT ANALYSIS

DIN TEXTILE MILLS LTD



Class BAP-2

Course Instructor: Ma'am Erum Fatima

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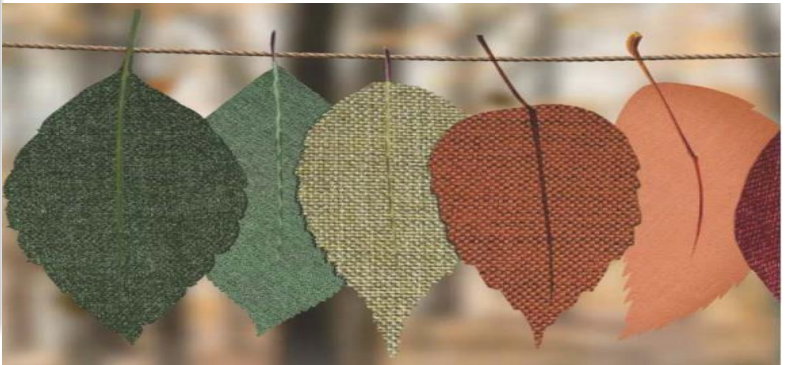


DIN TEXTILE MILLS LTD Contents:

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1. INTRODUCTION:

Din Textile Mills Limited is a Pakistan-based company that specializes in the production and sale of various types of yarn, including combed compact yarn, core spun yarn, and dyed yarn. The company operates four state-of-the-art spinning units and one dyeing unit in Multan Road Pattoki and Raiwind. Din Textile Mills aims to provide high-quality products to its customers through innovation and a professional approach, focusing on solving problems and meeting customer needs.



2. HISTORY:

1987: Din Textile Mills Ltd was incorporated as a public limited company in Pakistan.

1990s: The company started production of yarn and fabric, focusing on quality and innovation.

2000s: Din Textile Mills Ltd expanded its operations, installing new machinery and technology to increase capacity and efficiency.

2010s: The company diversified its product range, introducing new yarn and fabric products, and entering international markets.

3. Product Design:

I. Yarn:

- **Mélangé Yarn (Blended Yarn):** A blend of cotton, polyester, and viscose.

Core Spun Yarn (Core Wrapped Yarn): A blend of cotton, polyester, and viscose wrapped around a central core.

- **Slub Yarn:** A yarn with intentional slubs (thicker areas) for a unique texture.

II. Fabric:

- **Woven Fabrics:** Cotton, polyester, and blended fabrics for apparel, home textiles, and industrial applications.
- **Knitted Fabrics:** Single jersey, interlock, and fleece fabrics for garments and textiles.

III. Product Range:

- **Apparel fabrics** (casual wear, formal wear, work wear)

- **Home textiles** (bedding, curtains, upholstery)
- **Industrial textiles** (filter fabrics, medical fabrics)

IV. Design Features:

- Innovative blends and textures
- Wide range of colors and shades
- Customized designs and patterns
- High-quality finishing treatments (dyeing, printing, finishing)

4. Corporate Vision / Mission Statement:

Mission:

"To transform into a complete textile unit, exploring international markets, and delivering quality products while ensuring sustainable growth, social responsibility, and customer satisfaction."

Vision:

"To be a pioneer in the textile industry, setting new standards of excellence, innovation, and quality, while creating value for our stakeholders, employees, and the environment."

Values:

- 1. Quality:** Commitment to delivering high-quality products and services.
- 2. Innovation:** Encouraging creativity, innovation, and continuous improvement.
- 3. Sustainability:** Focusing on environmentally friendly practices and social responsibility.
- 4. Customer Satisfaction:** Ensuring customer delight through quality, service, and timely delivery.
- 5. Teamwork:** Collaborative approach to achieve common goals and shared success.
- 6. Integrity:** Conducting business with transparency, honesty, and ethical principles.
- 7. Respect:** Valuing diversity, respecting employees, customers, and stakeholders.
- 8. Excellence:** Striving for excellence in all aspects of the business.

These values and mission/vision statements reflect the company's commitment to quality, innovation, sustainability, and customer satisfaction, while also emphasizing the importance of teamwork, integrity, and respect.

5. Objectives and Strategies:

Objectives:

1. Increase production capacity by 20% within the next 2 years.
2. Expand product range to include high-value-added textiles (e.g., technical textiles).
3. Enter new international markets (e.g., Europe, North America).
4. Achieve a 25% increase in exports within the next 3 years.
5. Reduce environmental impact by implementing sustainable practices.

Strategies:

1. Invest in new machinery and technology to increase efficiency and capacity.
2. Develop strategic partnerships with suppliers, customers, and research institutions.
3. Enhance product development and innovation capabilities.
4. Expand marketing and sales efforts to reach new customers and markets.
5. Implement sustainable practices and reduce waste.

Tactics:

1. Install new spinning and weaving machines to increase capacity.
2. Collaborate with textile research institutions to develop new products.
3. Hire experienced product developers and designers.
4. Participate in international trade shows and exhibitions.
5. Implement recycling programs and reduce energy consumption.
6. Develop an e-commerce platform to reach new customers.
7. Provide training and development programs for employees.
8. Establish a quality management system to ensure high-quality products.

These objectives, strategies, and tactics are aligned with the company's mission, vision, and values, and are designed to help Din Textile Mills Ltd achieve its goals and succeed in the competitive textile industry.

6. SWOT Analysis:

Strengths:

1. **Established brand:** Din Textile Mills Ltd has a strong reputation in the textile industry.
2. **High-quality products:** The company is known for producing high-quality yarn and fabric.
3. **State-of-the-art infrastructure:** Din Textile Mills Ltd has modern spinning and dyeing units.
4. **Experienced management:** The company has a skilled and experienced management team.
5. **Strong financial position:** Din Textile Mills Ltd has a stable financial position.

Weaknesses:

1. **Dependence on few customers:** The company relies heavily on a few major customers.
2. **High production costs:** Din Textile Mills Ltd faces high production costs due to energy and labor expenses.
3. **Limited product range:** The company's product range is limited compared to its competitors.
4. **Low marketing efforts:** Din Textile Mills Ltd needs to improve its marketing efforts.

Opportunities:

1. **Growing demand for textiles:** The global demand for textiles is increasing.
2. **Expansion into new markets:** Din Textile Mills Ltd can explore new markets, including exports.
3. **Diversification of products:** The company can diversify its product range to include value-added products.
4. **Investment in technology:** Din Textile Mills Ltd can invest in new technology to improve efficiency.

Threats:

1. **Intense competition:** The textile industry is highly competitive, with companies like:
 - Gul Ahmed Textile Mills Ltd
 - Al-Karam Textile Mills Ltd
 - Faisal Spinning Mills Ltd
 - Crescent Textile Mills Ltd
2. **Fluctuating raw material prices:** The prices of cotton and other raw materials can fluctuate.
3. **Government regulations:** Changes in government regulations can impact the industry.

4. Economic downturn: Economic downturns can affect demand for textiles.

Recommendations:

1. Diversify product range: Develop value-added products to increase revenue.

2. Invest in marketing: Strengthen marketing efforts to reach new customers.

3. Expand into new markets: Explore export opportunities and new markets.

4. Invest in technology: Upgrade infrastructure to improve efficiency and reduce costs.

5. Develop strategic partnerships: Collaborate with suppliers, customers, and research institutions.

7. Parent Company:

The parent company of Din Textile Mills Ltd is Din Group of Companies.

Din Group of Companies is a conglomerate with interests in various sectors, including:

1. Textiles (Din Textile Mills Ltd)
2. Property (Din Real Estate)
3. Banking (Din Bank)
4. Chemicals (Din Chemicals)
5. Construction (Din Construction)
6. Leather (Din Leather)

The Din Group is a family-owned business, with the Din family holding a majority stake in the company.

The group has a strong presence in Pakistan and has been in operation for over 50 years.

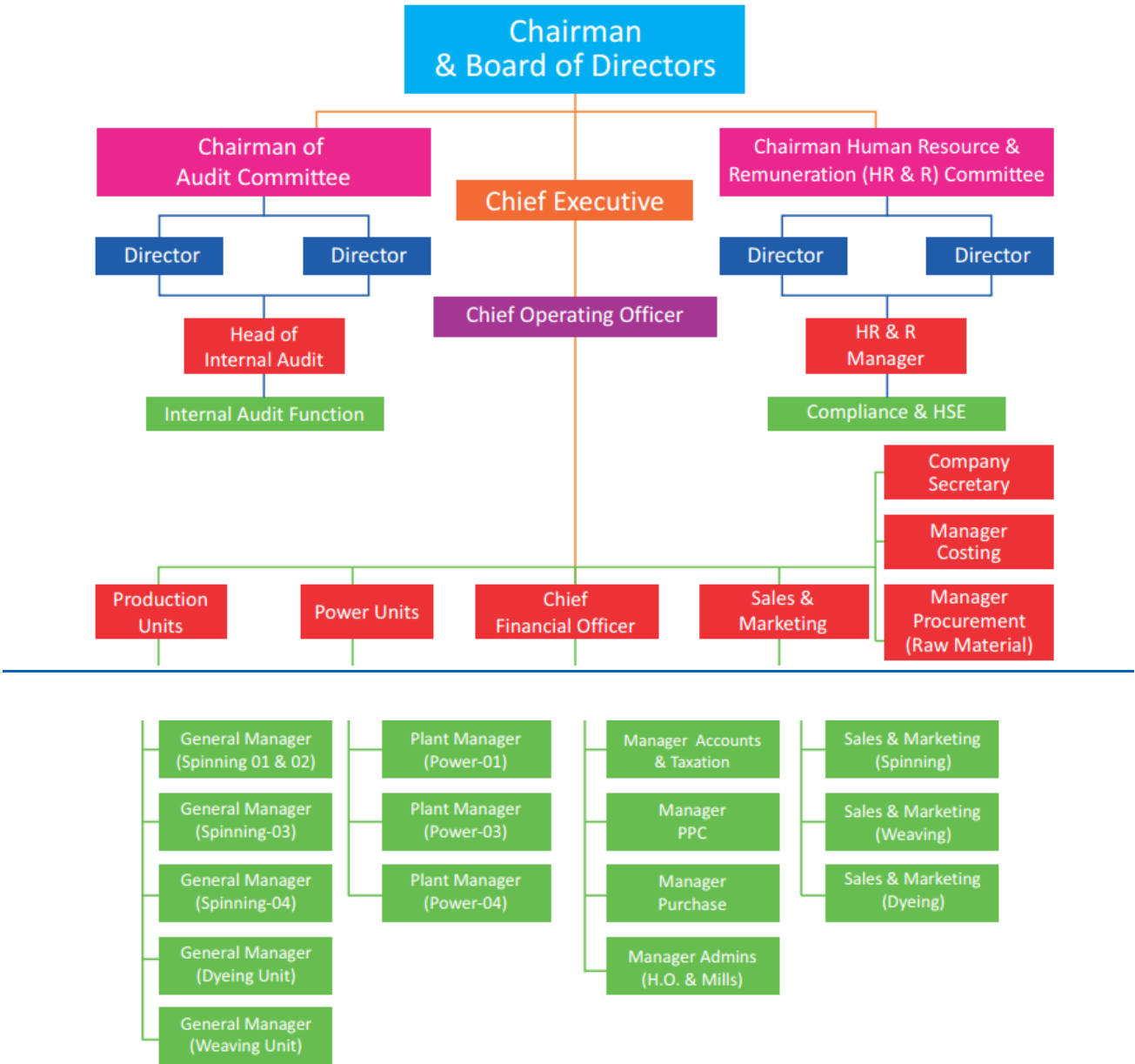
Here is the hierarchy:

- **Din Group of Companies (Parent Company)**

Din Textile Mills Ltd (Subsidiary)

- **Din Real Estate (Subsidiary)**
- **Din Bank (Subsidiary)**
- **Din Chemicals (Subsidiary)**
- **Din Construction (Subsidiary)**
- **Din Leather (Subsidiary)**

Company Structure of Din Textile Mills LTD



ORGANIZATION STRUCTURE

Shaikh Muhammad Jawed	(Chairman)
Shaikh Muhammad Pervez	(Director)
Shaikh Muhammad Tanveer	(Director)
Shaikh Mohammad Naveed	(Chief Executive)
Mr. Faisal Jawed	(Director)
Mr. Farhad Shaikh Mohammad	(Director)
Mr. Ehtesham Maqbool Elahi	(Director)
Mr. Ali Farooq	(Director)
Mrs. Romisa Rafay	(Director)
Mr. Shaukat Hussain Ch.	(Chief Operating Officer)

Financial Performance



Sales Revenue	Rupees in '000'
2023	32,313,735
2022	31,352,709



(Loss)\Profit After Tax	Rupees in '000'
2023	(867,523)
2022	3,443,296



Total Assets	Rupees in '000'
2023	37,991,974
2022	28,110,695



Capital Expenditure	Rupees in '000'
2023	4,010,270
2022	1,798,928



Total Assets	Rupees in '000'
2023	37,991,974
2022	28,110,695



Capital Expenditure	Rupees in '000'
2023	4,010,270
2022	1,798,928



(Loss) / Earning Per Share	Rupees
2023	(16.53)
2022	65.63



Donations	Rupees in '000'
2023	12,150
2022	1,510

Categories of Shareholder

Categories of Shareholders	Shareholders	Shares Held	Percentage
Directors and their spouse(s) and minor children			
Shaikh Muhammad Jawed	1	1,000	0.00
Shaikh Muhammad Pervez	1	7,376,842	14.06
Shaikh Muhammad Tanveer	1	1,914,056	3.65
Shaikh Mohammad Naveed	1	4,930,858	9.40
Mr. Farhad Shaikh Mohammad	1	1,223,479	2.33
Mr. Ehtesham Maqbool Elahi	1	899	0.00
Mr. Ali Farooq	1	100	0.00
Mr. Faisal Jawed	1	3,814,095	7.27
Mrs. Romisa Raffay	1	899	0.00
Mrs. Ghazala Pervez	1	3,986,260	7.60
Shaikh Mohammad Raffay	1	1,223,479	2.33
Associated Companies, undertakings and related parties	2	12,148,929	23.16
NIT & ICP	2	803,863	1.53
Banks Development Financial Institutions, Non Banking Financial Institutions.	3	11,969	0.02
Insurance Companies	1	600	0.00
Modarabas and Mutual Funds	3	113,584	0.22
General Public			
a. Local	810	14,576,157	27.78
b. Foreign	-	-	-
Foreign Companies	-	-	-
Others	19	339,680	0.65
Totals	851	52,466,749	100.00

Share holders holding 10% or more		Shares Held	Percentage
SHAIKH MUHAMMAD PERVEZ		7,376,842	14.06
DIN CORPORATION (PVT.) LIMITED		6,469,187	12.33
DIN INDUSTRIES MANAGEMENT (PRIVATE) LIMITED		5,679,742	10.83

Pattern of Shares

NO OF SHARE HOLDERS	SHAREHOLDING SLAB	TOTAL SHARES HELD
246	1 to 100	4,106
202	101 to 500	48,118
265	501 to 1000	237,674
98	1001 to 5000	219,398
13	5001 to 10000	96,660
4	10001 to 15000	45,493
3	15001 to 20000	54,928
1	20001 to 25000	23,350
1	40001 to 45000	43,167
1	110001 to 115000	113,064
1	250001 to 255000	250,500
1	800001 to 805000	803,434
4	1220001 to 1225000	4,893,916
2	1910001 to 1915000	3,828,112
1	1915001 to 1920000	1,916,056
2	3810001 to 3815000	7,628,190
1	3815001 to 3820000	3,817,694
1	3985001 to 3990000	3,986,260
1	4930001 to 4935000	4,930,858
1	5675001 to 5680000	5,679,742
1	6465001 to 6470000	6,469,187
1	7375001 to 7380000	7,376,842
851		52,466,749

Depreciation Method at Din Textile Mills LTD

Depreciation Method Used by the Company

The company follows the reducing balance method for depreciating its property, plant, and equipment (PPE) assets, excluding freehold land. This method is used to write off the historical cost of an asset over its estimated useful life. The depreciation rates used are disclosed in Note 6 of the financial statements.

Depreciation Calculation

The company calculates depreciation on additions to PPE assets from the month in which the asset is acquired or capitalized. Conversely, no depreciation is charged in the month of disposal. This ensures that the depreciation expense accurately reflects the usage of the assets during the period.

Key Features of the Depreciation Method

Reducing Balance Method: The company uses the reducing balance method to depreciate its PPE assets. This method involves charging a fixed percentage of the asset's historical cost to income each period, resulting in a decreasing balance over time.

Estimated Useful Life: The company assigns an estimated useful life to each asset, which is used to determine the number of periods over which the asset will be depreciated.

Depreciation on Additions: Depreciation on additions to PPE assets is charged from the month in which the asset is acquired or capitalized.

No Depreciation on Disposal: No depreciation is charged in the month of disposal, ensuring that the depreciation expense accurately reflects the usage of the assets during the period.00

Stakeholder Engagement and Investor's Relation

The stakeholder engagement and investor relations of Din Textile are focused on maintaining transparency and open communication.

Employee Relations: The company maintains cordial and harmonious relations with its employees. The management recognizes and appreciates their dedication, commitment, and hard work, which is essential for the growth and prosperity of the company.

Board of Directors: The Board of Directors provides guidance and support to the management, ensuring that the company remains focused on growth, profitability, and value creation.

Financial Transparency: The company ensures that its financial statements are transparent and accurately reflect the state of its affairs. This includes providing detailed financial information and disclosures to stakeholders.

Corporate Governance: Din Textile adheres to the principles of good corporate governance, ensuring that its operations are transparent, accountable, and ethical.

Investor Relations

Shareholding Pattern: The company maintains a detailed record of its shareholding pattern, which is disclosed in the financial statements.

Trading in Shares: The Directors, Chief Executive, Chief Financial Officer, Company Secretary, and their spouses and minor children do not engage in trading in the shares of the company.

Financial Performance: The company provides detailed financial information, including key highlights such as total assets, capital expenditure, and earnings per share, to help investors make informed decisions.

Communication: The company maintains open communication with its investors, providing regular updates on its performance and future prospects.

Statement from operating activities

Cash Flow Management

During the year an amount of Rs. 3,382.94 million was generated from Company's operating activities before taking the effect of changes of working capital, there is a significant decline as compared to last year mainly due to decline in demand of textile products which results in drop of selling prices while on the other hand high increase in raw material prices and cost of production. Due to high mark up cost, Company opted for reducing stock in trade and investment in working capital. Rs. (1,804.14) Million was used in working capital which is substantially less as compared to last year. At the end of the year 2023 the liquid fund position comprising of cash and cash equivalents amounts to Rs. (4,084.64) Million.

The Company has an effective Cash Flow Management system in place whereby cash inflows and out flows are projected on regular basis and rigorously monitored. Working Capital requirements are planned to be financed through internal cash generation and short term borrowings from external resources where necessary. During the year, significant measures have been taken for cash and working capital management as a result of high finance costs.

	Note	2023 Rupees	2022 Rupees
CASH FLOWS FROM OPERATING ACTIVITIES			
(Loss) / Profit before taxation		(624,328,951)	3,733,267,626
Adjustments for:			
Depreciation		963,812,131	934,597,760
Amortization		2,752,258	229,355
Staff retirement benefits - gratuity		127,584,219	95,856,869
Workers' profit participation fund		-	200,497,724
Workers' welfare fund		-	76,189,135
Provisions for doubtful debts		24,000,000	24,000,000
Government grant		(127,342,582)	(116,846,206)
Finance cost		3,013,394,602	1,388,924,178
Loss / (Gain) on disposal of property, plant and equipment		3,067,061	(6,200,256)
		4,007,267,689	2,597,248,559
Profit before working capital changes		3,382,938,738	6,330,516,185
(Increase) / Decrease in current assets			
Stores, spare parts and loose tools		39,375,792	(245,277,287)
Stock in trade		(1,609,132,020)	(6,059,218,089)
Trade debts		(95,108,089)	(1,577,431,655)
Advances		31,451,369	(79,003,467)
Other receivables		(170,727,783)	(337,969,875)
		(1,804,140,731)	(8,298,900,373)
Increase / (Decrease) in current liabilities			
Trade and other payables		532,588,653	288,098,393
Payable against murabaha financing		1,112,638,833	3,738,787,747
Payable against istisna financing		3,060,000,000	-
		4,705,227,486	4,026,886,140
Cash generated from operations		6,284,025,492	2,058,501,952
Finance cost paid		(2,190,765,815)	(1,033,302,835)
Taxes paid		(2,121,808,284)	(1,797,177,432)
Dividend paid		(220,368)	(269,801)
Workers' profit participation fund paid		(10,057,476)	(221,052,255)
Staff retirement benefits - gratuity paid		(78,619,517)	(36,572,830)
		(4,401,471,460)	(3,088,375,153)
Net cash generated from / (used in) operating activities		1,882,554,032	(1,029,873,201)

Statement of Changes in Equity

For the year ended June 30, 2023

Particulars	Share capital	Reserves					Total
		Capital	Surplus on revaluation	Revenue		Sub total	
		Share Premium		General	Unappropriated profit		
	Rupees						
Balance as at June 30, 2021	524,667,490	746,193,760	-	400,000,000	3,005,626,063	4,151,819,823	4,676,487,313
Total comprehensive income for the year:							
Profit for the year	-	-	-	-	3,443,296,328	3,443,296,328	3,443,296,328
Other comprehensive loss - net of deferred tax	-	-	-	-	(6,520,066)	(6,520,066)	(6,520,066)
Balance as at June 30, 2022	524,667,490	746,193,760	-	400,000,000	6,442,402,325	7,588,596,085	8,113,263,575
Total comprehensive (loss)/income for the year							
Loss for the year	-	-	-	-	(867,523,059)	(867,523,059)	(867,523,059)
Other comprehensive Income /(loss) - net of deferred tax	-	-	3,299,086,214	-	(5,101,536)	3,293,984,678	3,293,984,678
Balance as at June 30, 2023	524,667,490	746,193,760	3,299,086,214	400,000,000	5,569,777,730	10,015,057,704	10,539,725,194

The annexed notes from 1 to 46 form an integral part of these financial statements.

SHAIKH MOHAMMAD NAVEED
Chief Executive

FARHAD SHAIKH MOHAMMAD
Director

KASHIF JAVED
Chief Financial Officer

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Statement of Profit & Loss

For the year ended June 30, 2023

		2023	2022
Sales - Net		32,313,734,893	31,352,709,025
Cost of Sales		(29,211,516,967)	(25,382,352,880)
Gross Profit		3,102,217,926	5,970,356,145
Distribution Cost		470,566,053	306,503,114
Administrative expenses		389,172,559	364,526,210
Other operating expenses		40,628,061	303,607,859
Finance Cost		3,013,394,602	1,388,924,178
Operating expense		3,913,761,275	2,363,561,361
Operating Loss		(811,543,349)	3,606,794,784
Other Income		187,214,398	126,472,842
Loss before tax		(624,328,951)	3,733,267,626
Taxation		(243,194,108)	(289,971,298)
loss after tax		(867,523,059)	3,443,296,328
Loss per share		(16.53)	65.63
Shares		52,466,749	
Current Stock Price		74.07	

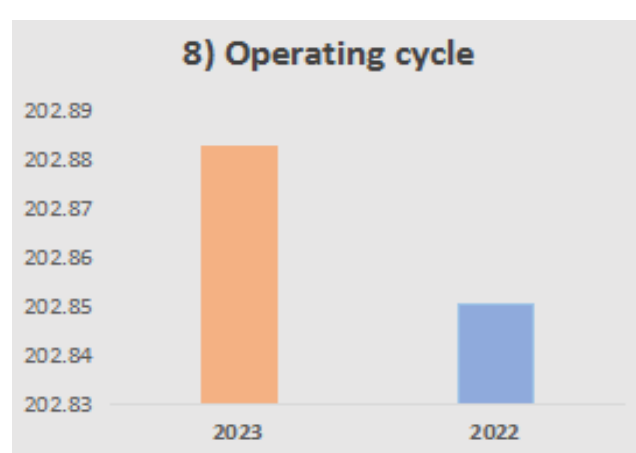
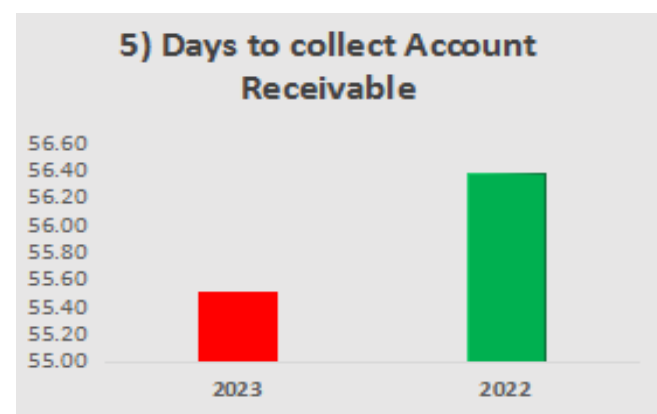
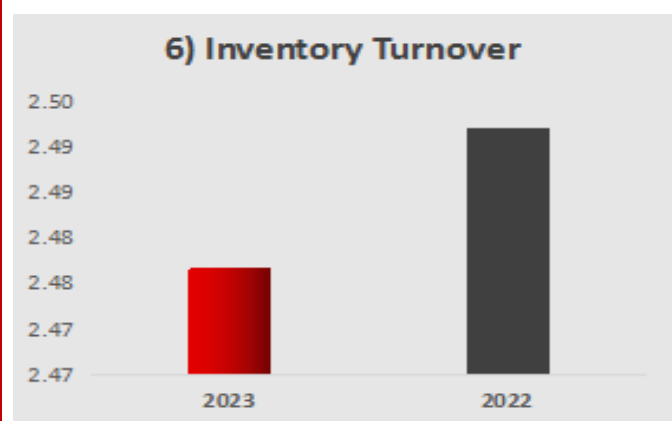
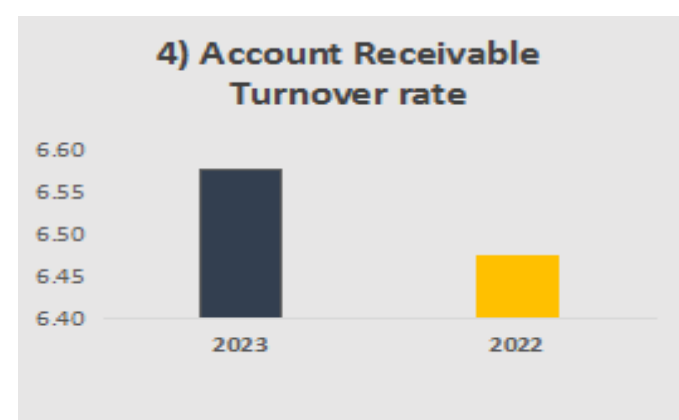
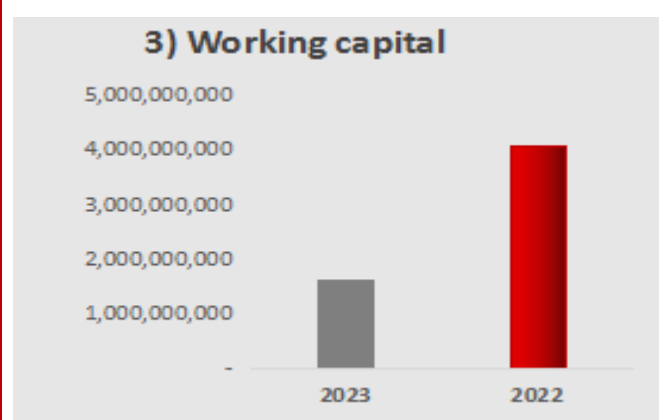
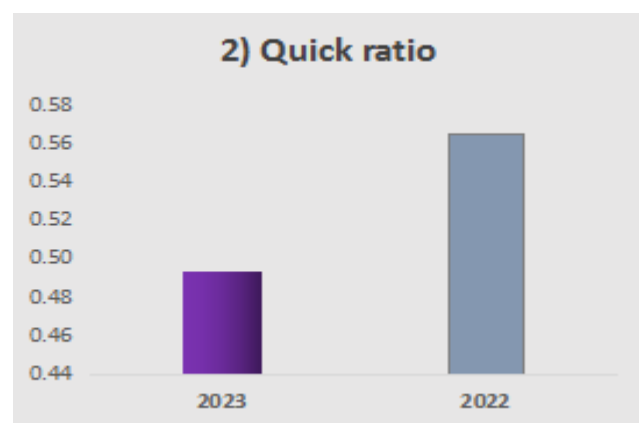
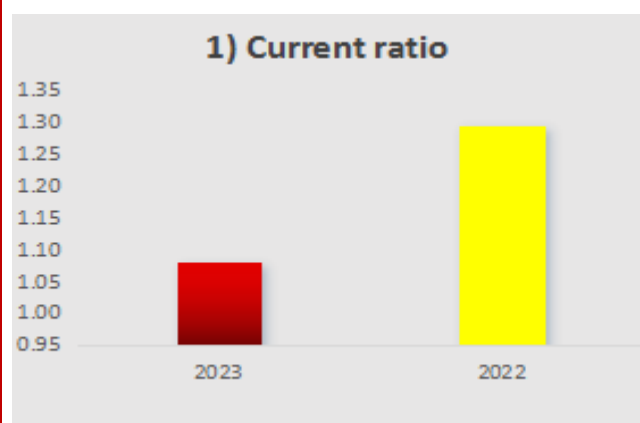
Statement of Financial Position
As at June 30, 2023

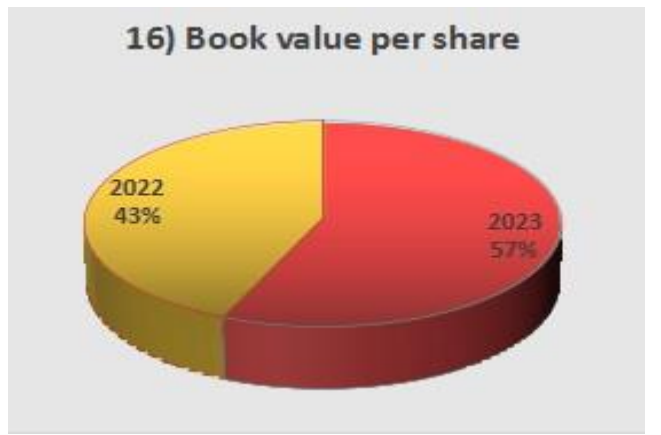
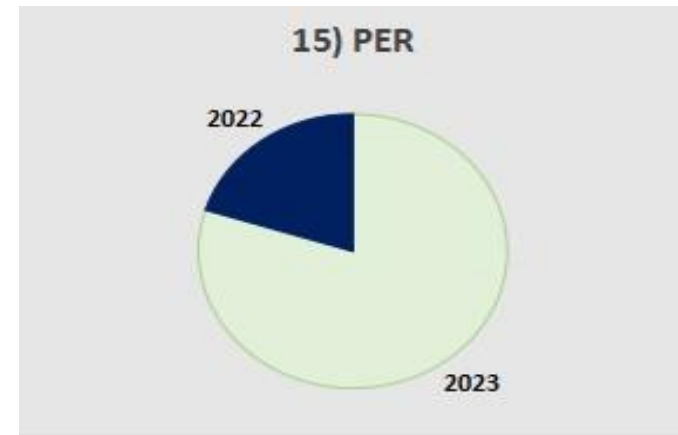
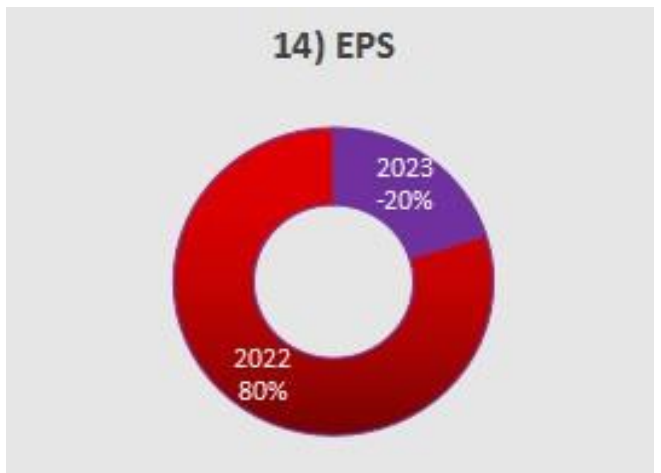
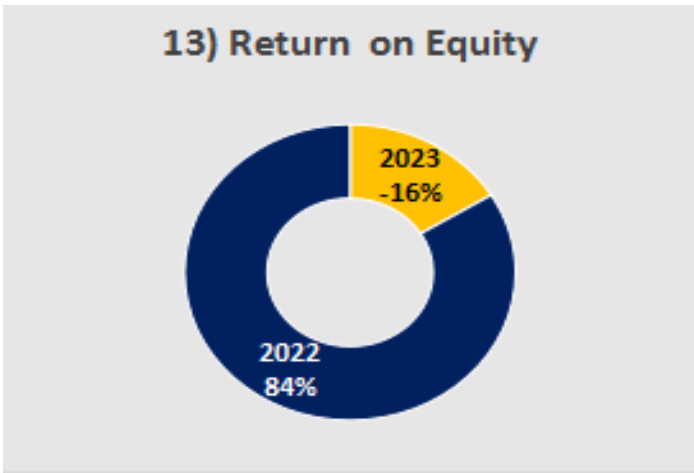
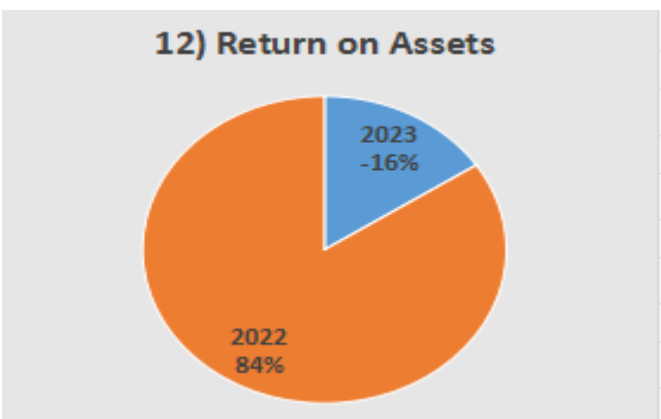
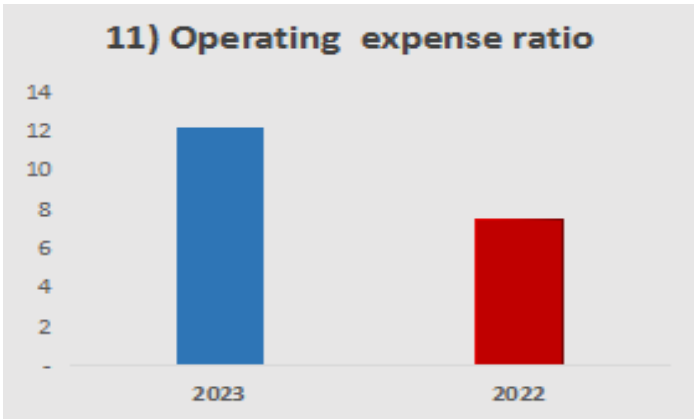
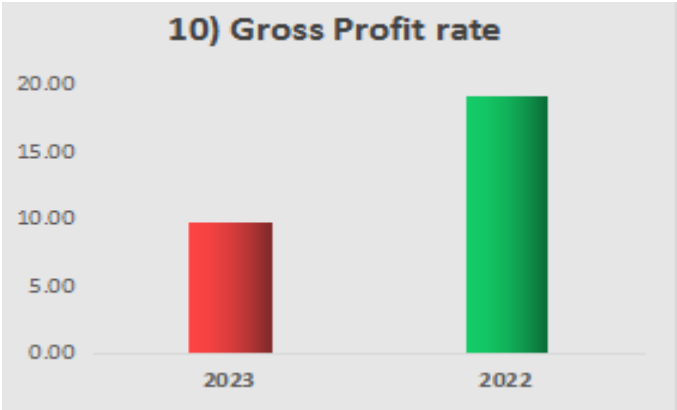
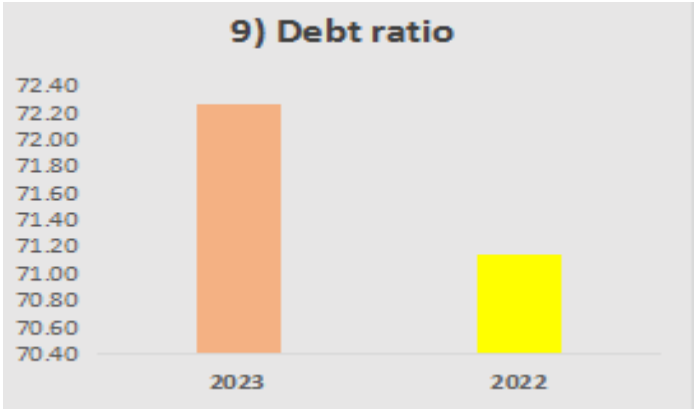
Non Current Assets		2023	2022
Property, plant and equipment		16,263,252,496	9,963,073,846
Intangible assets		10,779,677	13,531,934
Long term deposits		23,857,551	22,746,751
Deferred taxation Asset		-	-
Total Non Current Assets		16,297,889,724	9,999,352,531
Current Assets		2023	2022
Stores, spare parts and loose tools		535,991,173	575,366,965
Stock in trade		11,794,932,231	10,185,800,211
Trade debts		4,913,841,792	4,842,733,703
Advances		190,222,128	221,673,497
Trade deposits		1,324,300	1,238,600
Other receivables		582,698,110	411,970,327
Tax refunds due from Government - Net		3,556,302,838	1,676,854,152
Cash and bank balances		118,771,905	195,705,117
Total Current Assets		21,694,084,477	18,111,342,572
Total Assets		37,991,974,201	28,110,695,103
Current Liabilities		2023	2022
Trade & Other Payables		13,494,492,601	8,927,252,346
Contract Liabilities		134,940,601	6,399,049
Unclaimed Dividends		5,367,392	5,587,760
Accrued markup / Interest		1,089,948,340	395,221,887
Short term borrowings - Secured		4,203,413,084	3,382,979,134
Current portion of long term financin - Secured		1,180,665,389	1,327,234,448
Total Current Liabilities		20,108,827,407	14,044,674,624
Working Capital		1,585,257,070	4,066,667,948
Total Capital Employed		17,883,146,794	14,066,020,479
Non Current Liabilities		2023	2022
Long term financing		7,056,860,008	5,721,044,013
Deffered liabilities (Staff retirement benefits - gratuity)		286,561,592	231,712,891
Total Non Current Liabilities		7,343,421,600	5,952,756,904
Total Liabilities		27,452,249,007	19,997,431,528
Contingencies & Commitments - Net Worth		10,539,725,194	8,113,263,575
Equity			
Share Capital & Reserves			
Authorized Capital 200,000,000 Ordinary Shares of Rs. 10 each		2,000,000,000	2,000,000,000
Net Worth Represented By:			
Issued, Subscribed & Paid up capital 52,466,749 ordinary shared of Rs. 10 each		524,667,490	524,667,490
Reserves		6,715,971,490	7,588,596,085
Surplus on revaluation of property, plant & equipment		3,299,086,214	-
Total Equity		10,539,725,194	8,113,263,575

Ratio Analysis

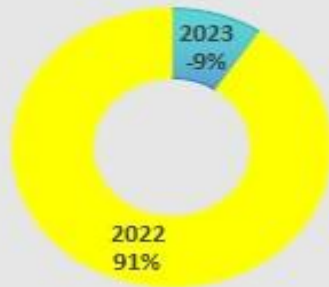
	2023	2022
1) Current ratio	1.08	1.29
2) Quick ratio	0.49	0.56
3) Working capital	1,585,257,070	4,066,667,948
4) Account Receivable Turnover rate	6.58	6.47
5) Days to collect Account Receivable	55.50	56.38
6) Inventory Turnover	2.48	2.49
7) Days to sell Inventory Turnover	147.38	146.47
8) Operating cycle	202.88	202.85
9) Debt ratio	72.26	71.14
10) Gross Profit rate	9.60	19.04
11) Operating expense ratio	12	8
12) Return on Assets	(2.28)	12.25
13) Return on Equity	(8.23)	42.44
14) EPS	(16.53)	65.63
15) PER	(4.48)	1.13
16) Book value per share	200.88	154.64
17) Interest coverage ratio	(0.27)	2.60
18) Net margin	(2.68)	10.98
19) Debt to Equity Ratio	2.60	2.46
20) Plant assets to long term debt	2.30	1.74
21) Operating income	(811,543,349)	3,606,794,784
22) Return on common stockholders' equity	(0.08)	0.42

Ratio Analysis	Commenting
1) Current ratio	The current ratio decreased from 1.29 in 2022 to 1.08 in 2023, indicating a reduction in liquidity.
2) Quick ratio	The quick ratio also declined, reflecting a potential challenge in meeting short-term liabilities without relying on inventory sales.
3) Working capital	There was a significant decrease in working capital, suggesting lower liquidity.
4) Account Receivable Turnover rate	A slight improvement in the accounts receivable turnover rate indicates better efficiency in collecting receivables in 2023 compared to 2022.
5) Days to collect Account Receivable	The company has marginally improved its collection period in 2023, which is a positive sign of enhanced cash flow management.
6) Inventory Turnover	The inventory turnover ratio remains stable, suggesting consistency in inventory management and sales performance.
7) Days to sell Inventory Turnover	There is a slight increase in the days to sell inventory, indicating that inventory is moving slightly slower in 2023.
8) Operating cycle	The operating cycle is fairly stable, showing that the overall efficiency in managing inventory and receivables has not changed significantly.
9) Debt ratio	The debt ratio remained relatively stable, indicating consistent leverage levels.
10) Gross Profit rate	The gross profit rate showed a significant decline, with the company moving from profitability in 2022 to a loss in 2023.
11) Operating expense ratio	The operating expense ratio has increased, suggesting that operating expenses are taking up a larger portion of sales, which negatively affects profitability.
12) Return on Assets	The Return on Assets showed a significant decline, with the company moving from profitability in 2022 to a loss in 2023.
13) Return on Equity	The Return on Equity showed a significant decline, with the company moving from profitability in 2022 to a loss in 2023.
14) EPS	A notable decline in EPS from 65.63 to -16.53, reflecting a significant decrease in profitability.
15) PER	Price-Earnings Ratio is negative in 2023 due to negative EPS, indicating poor investor confidence.
16) Book value per share	The book value per share has increased, which is a positive sign as it indicates the company's net asset value per share has improved despite the overall losses.
17) Interest coverage ratio	A sharp decline in the interest coverage ratio indicates a reduced ability to cover interest expenses from operating income.
18) Net margin	The net margin has turned negative, highlighting that the company is not profitable and is generating losses in 2023.
19) Debt to Equity Ratio	A higher debt to equity ratio indicates increased financial leverage, which could be risky if the company's earnings do not improve.
20) Plant assets to long term debt	An increase in this ratio suggests a higher investment in property, plant, and equipment relative to long-term debt, which is a positive sign of asset backing.
21) Operating income	Decreased, highlighting lower operational efficiency.
22) Return on common stockholders' equity	A substantial drop in return on equity indicates that the company is not generating adequate returns for its shareholders in 2023.

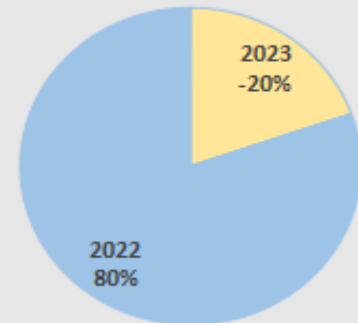




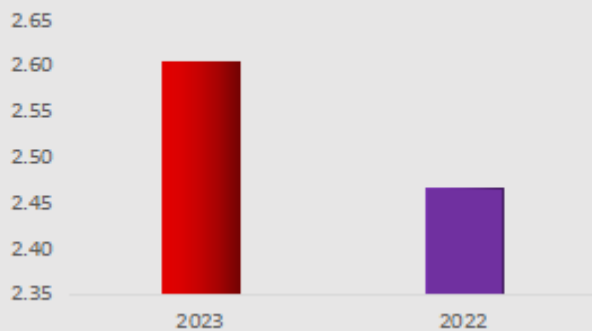
17) Interest coverage ratio



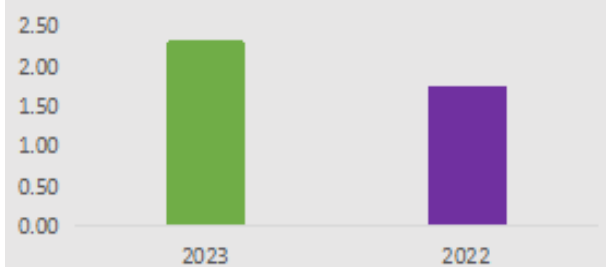
18) Net margin



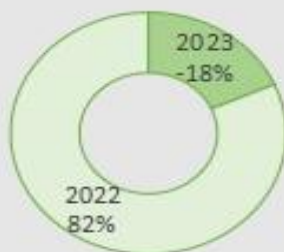
19) Debt to Equity Ratio



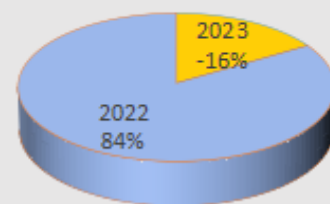
20) Plant assets to long term debt



21) Operating income



22) Return on common stockholders' equity



HORIZONTAL ANALYSIS OF STATEMENT OF FINANCIAL POSITION

CURRENT ASSETS				2023 RUPEES	2022 RUPEES	DOLLAR CHANGE/AMOUNT	PERCENTAGE% CHANGE	COMMENTS
Stores, spare parts and loose tools				535,991,173	575,366,965	-39,375,792	-6.8%	DECREASE
Stock in trade				11,794,932,231	10,185,800,211	1,609,132,020	15.8%	INCREASE
Trade debts				4,913,841,792	4,842,733,703	71,108,089	1.5%	INCREASE
Advances				190,222,128	221,673,497	-31,451,369	-14.2%	DECREASE
Trade deposits				1,324,300	1,238,600	85,700	6.9%	INCREASE
Other receivables				582,698,110	411,970,327	170,727,783	41.4%	INCREASE
Tax refunds due from Government - Net				3,556,302,838	1,676,854,152	1,879,448,686	112.1%	INCREASE
Cash and bank balances				118,771,905	195,705,117	-76,933,212	-39.3%	DECREASE
TOTAL				21,694,084,477	18,111,342,572	3,582,741,905	19.78%	INCREASE
NON-CURRENT ASSETS								
Property, plant and equipment				16,263,252,496	9,963,073,846	6,300,178,650	63.24%	INCREASE
Intangible assets				10,779,677	13,531,934	-2,752,257	-20.34%	DECREASE
Long term deposits				23,857,551	22,746,751	1,110,800	4.88%	INCREASE
Deferred taxation Asset				-	-	-	-	
TOTAL				16,297,889,724	9,999,352,531	6,298,537,193	62.99%	INCREASE
CURRENT LIABILITIES								
Trade and other payables				13,494,492,601	8,927,252,346	4,567,240,255	51.16%	INCREASE
Contract liabilities				134,940,601	6,399,049	128,541,552	2008.76%	INCREASE
Unclaimed dividend				5,367,392	5,587,760	-220,368	-3.94%	DECREASE
Accrued mark up / interest				1,089,948,340	395,221,887	694,726,453	175.78%	INCREASE
Short term borrowings - Secured				4,203,413,084	3,382,979,134	820,433,950	24.25%	INCREASE
Current portion of							-	
Long term financing - Secured				1,180,665,389	1,327,234,448	-146,569,059	-11.04%	DECREASE
TOTAL				20,108,827,407	14,044,674,624	6,064,152,783	43.18%	INCREASE

HORIZONTAL ANALYSIS OF STATEMENT OF PROFIT AND LOSS

					2023 Rupees	2022 Rupees
	Sales - net				32,313,734,893	31,352,709,025
	Cost of sales				-29,211,516,967	-25,382,352,880
	Gross Profit				3,102,217,926	5,970,356,145
	Distribution cost				470,566,053	306,503,114
	Administrative expenses				389,172,559	364,526,210
	Other operating expenses				40,628,061	303,607,859
	Finance cost				3,013,394,602	1,388,924,178
					3,913,761,275	2,363,561,361
					-811,543,349	3,606,794,784
	Other income				187,214,398	126,472,842
	(Loss) / Profit before taxation				-624,328,951	3,733,267,626
	Taxation				-243,194,108	-289,971,298
	(Loss) / Profit for the year				-867,523,059	3,443,296,328
	(Loss) / Earnings per share - basic and diluted				-16.53	65.63
	FORMULA :					
	DOLLAR CHANGE =	CURRENT YEAR -BASE YEAR				
	FOR % CHANGE =	DOLLAR CHANGE	* 100			
		BASE YEAR				

VERTICAL ANALYSIS OF STATEMENT OF FINANCIAL POSITION

	2023	2022
NON CURRENT ASSETS		
Property, plant and equipment	42.81	35.44
Intangible assets	0.03	0.05
Long term deposits	0.06	0.08
TOTAL NON CURRENT ASSETS	42.90	35.57
CURRENT ASSETS		
Stores, spare parts and loose tools	1.41	2.05
Stock in trade	31.05	36.23
Trade debts	12.93	17.23
Advances	0.50	0.79
Trade deposits	0.00	0.00
Other receivables	1.53	1.47
Tax refunds due from Government - Net	9.36	5.97
Cash and bank balances	0.31	0.70
TOTAL CURRENT ASSETS	57.10	64.43
CURRENT LIABILITIES		
Trade and other payables	35.52	31.76
Contract liabilities	0.36	0.02
Unclaimed dividend	0.01	0.02
Accrued mark up / interest	2.87	1.41
Short term borrowings - Secured	11.06	12.03
Current portion of Long term financing - Secured	3.11	4.72
TOTAL CURRENT LIABILITIES	52.93	49.96
WORKING CAPITAL	4.17	14.47
NON CURRENT LIABILITIES	18.57	20
Long term financing		
Deferred liabilities	0.75	1
Staff retirement benefits - gratuity		
TOTAL NON CURRENT LIABILITIES	19.33	21.18
EQUITY		
Issued, subscribed and paid up capital	1.38	2
Reserves	17.68	27.00
Surplus on revaluation of property, plant and equipment	8.68	
TOTAL EQUITY	27.74	28.86

VERTICAL ANALYSIS OF STATEMENT OF PROFIT AND LOSS

	2023		2022
Sales - net	100.00		100.00
Cost of sales	-90.40		-80.96
Gross profit	9.60		19.04
Distribution cost	1.46		0.98
Administrative expenses	1.20		1.16
Other operating expenses	0.13		0.97
Finance cost	9.33		4.43
Other income	0.58		0.40
(Loss) / Profit before taxation	-1.93		11.91
Taxation	-0.75		-0.92
(Loss) / Profit for the year	-2.68		10.98

CONCLUSION

Din Textile Mills Ltd. (DTML) stands out as a premier textile manufacturer in Pakistan, distinguished by its innovative approach, superior product quality, and strategic market diversification. Founded under the visionary leadership of the late S.M. Muneer, a celebrated entrepreneur and philanthropist, DTML has become a benchmark in the textile sector. The company's mission focuses on transforming into a fully integrated textile unit, with an emphasis on high-value products for international markets. This includes a commitment to product and market diversification, value addition, and cost-effectiveness.

DTML's organizational culture fosters openness, continuous improvement, and employee engagement, ensuring that the workforce is well-equipped to meet business needs and customer requirements. The company's strong emphasis on sustainability and social responsibility is reflected in its efforts to create a positive impact on the community and environment. With a robust financial performance, significant production capacity, and a dedicated team of over 3,500 employees, DTML continues to uphold its legacy of excellence, driving forward with a vision of innovation and quality in the textile industry.

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Vertical Analysis (Covered by DHANRAJ)

Conclusion (Covered by DHANRAJ)